

The Postal Rule

When can acceptance take effect before the letter arrives?

A buyer posts a letter accepting an offer on Monday. The seller receives it on Thursday. Was the agreement formed on Monday or Thursday? The answer matters if the seller tries to withdraw the offer or sells the goods to somebody else during that interval.

The **postal rule** is an exception to the ordinary requirement that acceptance be communicated to the offeror. When the rule applies, acceptance takes effect on proper posting, rather than on receipt. The offeror may therefore be bound before knowing that the offer has been accepted.

1 The basic terms

An **offer** proposes a definite bargain and shows willingness to be bound if it is accepted. The **offeror** makes the offer; the **offeree** receives it. **Acceptance** means agreeing to that offer on its terms.

EVENT	WHAT IT MEANS
Writing the acceptance	Preparing the letter; writing alone is not posting.
Posting the acceptance	Putting the properly addressed and prepaid letter into the postal system.
Receipt of the acceptance	The letter reaches the recipient; this may occur days later.

2 Check whether the exception applies

Post must be a reasonable, contemplated means of communicating acceptance in the circumstances. The offer need not itself have arrived by post. Check the offer's terms: a requirement for actual receipt can exclude the rule, even where using post is permitted.

An acceptance must still agree to an offer that is available for acceptance. Posting a counter-offer does not create agreement to the original terms. Nor does writing a letter and leaving it on a desk amount to postal acceptance.

3 Agreement is not the only requirement

An ordinary simple contract generally also requires **consideration** (something of value given or promised in exchange) and **intention to create legal relations** (an intention that the agreement carry legal obligations). Particular transactions may require formalities.

The postal rule answers a question about the timing of acceptance. It does not remove those other requirements or turn every posted document into a contract.

Adams v Lindsell

(1818) 1 B & Ald 681; 106 ER 250 · King's Bench

4 A delayed offer to sell wool

The sellers sent an offer to sell wool, asking for a reply by post. They misaddressed their offer, so it reached the buyers late. The buyers posted their acceptance on the evening they received it. Before that acceptance arrived, the sellers sold the wool to another person.

DATE IN 1817	EVENT
2 September	The sellers sent their offer, but misaddressed it.
5 September	The buyers received the offer and posted acceptance that evening.
8 September	The sellers sold the wool to a third party.
9 September	The sellers received the acceptance.

5 The decision and who won

Acceptance was effective when posted on 5 September. The sellers' mistake had caused the delay in the offer's delivery. They could not treat the buyers' prompt response as too late and escape the contract.

Outcome: the buyers won. Their verdict was upheld, and the sellers were liable for failing to supply the wool under the contract. The later arrival of the acceptance did not postpone agreement until 9 September.

Lesson: when the postal rule applies, the offeror bears the risk of the interval between posting and arrival. These events occurred in 1817; the reported decision is from 1818.

6 Understand the timing through a new example

A seller offers a specified collection of books for £100 and invites acceptance by post. Assume post is reasonable, the rule is not excluded, and all other requirements are met. The buyer properly posts an unconditional acceptance on Monday. It arrives on Thursday.

Agreement is established on Monday, not Thursday. A later inconsistent sale would not remove the first contract; if the seller then fails to supply the promised books, contractual liability may follow.

7 Why have this exception?

The rule gives the offeree a definite point at which acceptance is complete. It avoids requiring repeated confirmation that each previous communication has arrived. Its trade-off is that the offeror can become bound without immediate knowledge of the acceptance.

Holwell Securities v Hughes

[1974] 1 WLR 155 · Court of Appeal; decided in 1973

8 An option requiring written notice

Hughes granted Holwell Securities an **option** to purchase property: a right to choose to buy under agreed terms within a set period. The option required exercise by “notice in writing to” the intending vendor within six months. **Vendor** means seller.

Holwell’s solicitors properly posted the written notice, but it never reached Hughes or his address. Holwell argued that posting was enough under the postal rule and sought to compel the sale.

9 The decision and who won

The Court of Appeal interpreted the notice requirement as requiring actual communication of the written notice. That requirement was inconsistent with acceptance taking effect merely on posting. The option had not been validly exercised.

Outcome: Hughes won. Holwell’s appeal was dismissed, and it could not compel the sale on the basis of the posted notice. Permission to use post did not mean that posting alone satisfied the clause.

Lesson: read the required result as well as the permitted method. “Send a letter” and “ensure written notice reaches the seller” are different requirements.

10 Compare the two cases

QUESTION	ADAMS	HOLWELL
What was decisive?	Postal acceptance took effect on posting.	The notice clause required actual communication.
Did arrival control the result?	The later arrival did not delay acceptance.	Failure of the notice to arrive prevented valid exercise.
Who won?	The buyers.	The seller, Hughes.

11 Clear wording and reasonable use

An offer can state: “Your written acceptance must reach me by 5 p.m. on Friday.” Posting on Friday is then insufficient if the letter arrives later. The offeror does not have to use the technical phrase “postal rule” to require receipt.

Known disruption, urgent deadlines and the surrounding circumstances may affect whether post is reasonable or the rule was intended to apply. Assess a predicted postal strike in context. Delay alone does not automatically make every postal acceptance ineffective.

Analysis and Legal English

12 A practical method

Identify the offer. Read its terms, deadline and instructions.

Check the method. Was postal acceptance reasonably contemplated?

Check exclusions. Was actual receipt required?

Order the events. Distinguish writing, posting and arrival.

State the result. Explain when acceptance became effective and check other formation requirements.

13 Essential vocabulary

TERM	PLAIN ENGLISH MEANING
Dispatch / receipt	Sending a communication / its arrival with the recipient.
Postal rule	The exception making acceptance effective on proper posting when applicable.
Revocation	Withdrawal of an offer before effective acceptance.
Option / exercise an option	A right to choose a transaction on agreed terms / using that right.
Notice in writing	Written notification; its required method and effect depend on the clause.

14 Keep other communications separate

The postal rule concerns acceptance. An offer or its withdrawal does not become effective merely because it is posted. Do not automatically apply the exception to email or text messages: their effectiveness requires analysis of the relevant communication rules, terms and circumstances.

15 Check your understanding

1. Is writing an acceptance letter enough to invoke the postal rule?
2. If the rule applies, is acceptance effective on posting or arrival?
3. Why did Holwell fail despite properly posting its notice?
4. Must the offeror expressly name the postal rule to exclude it?

Answers: 1. No; the letter must be properly posted. 2. On posting. 3. Actual communication of the written notice was required. 4. No; wording requiring receipt can exclude the rule.

Authorities and source material

Adams v Lindsell (1818) 1 B & Ald 681: judgment text. *Holwell Securities Ltd v Hughes* [1974] 1 WLR 155: reproduced law report.

Postal acceptance as a contemplated method: *Henthorn v Fraser* [1892] 2 Ch 27, especially p. 33. Judgment extract.

Based on the supplied *The Postal Rule - Contract Law* lesson. Examples are simplified to explain English contract law.